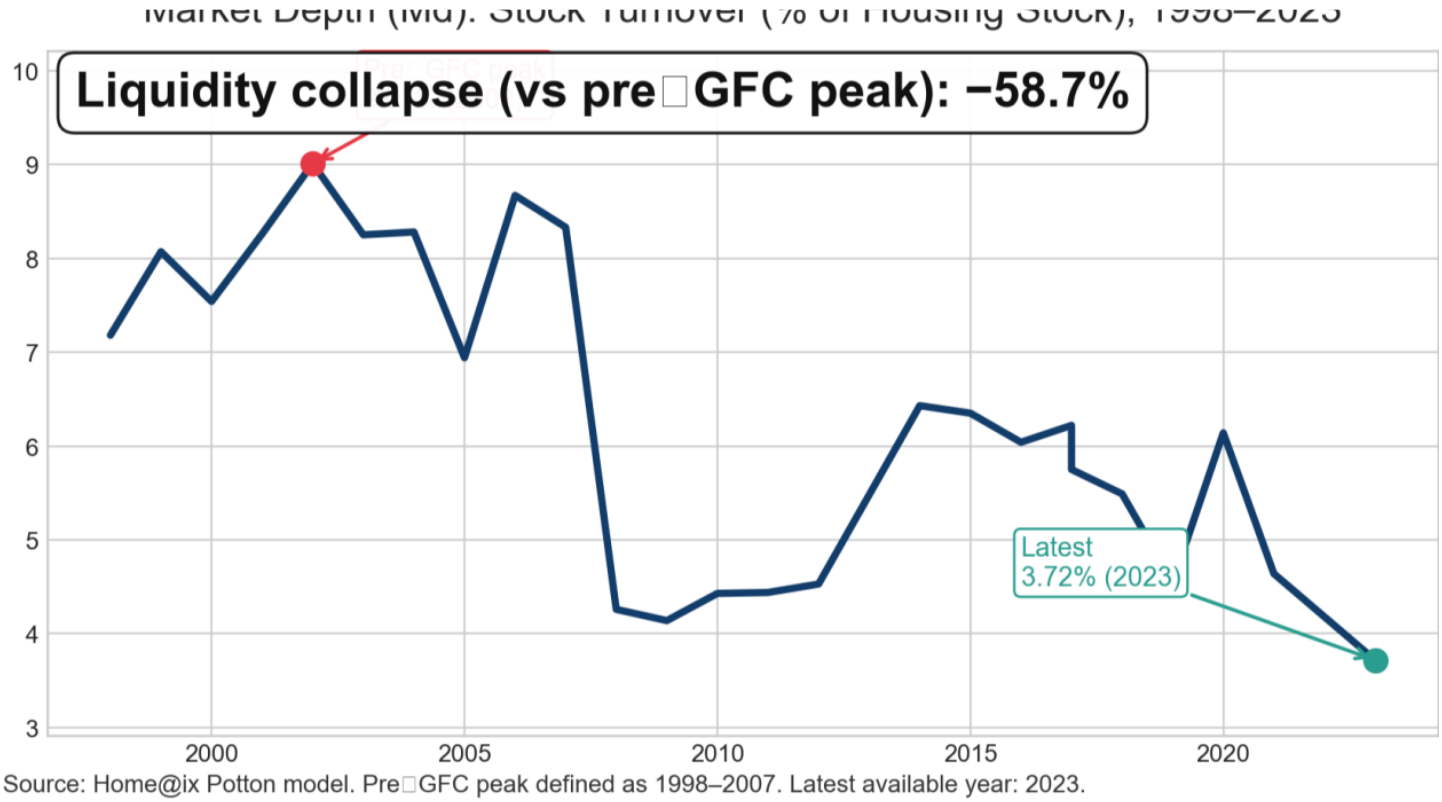

Investor tone: “Price signals are weaker because the market is thin; liquidity risk is the new macro risk.”

Title: When the Housing Market “Freezes”: What Turnover, Cash Share, and Supply Mix Say About UK Housing Stress

Roger Lewis
Published Feb 23, 2026

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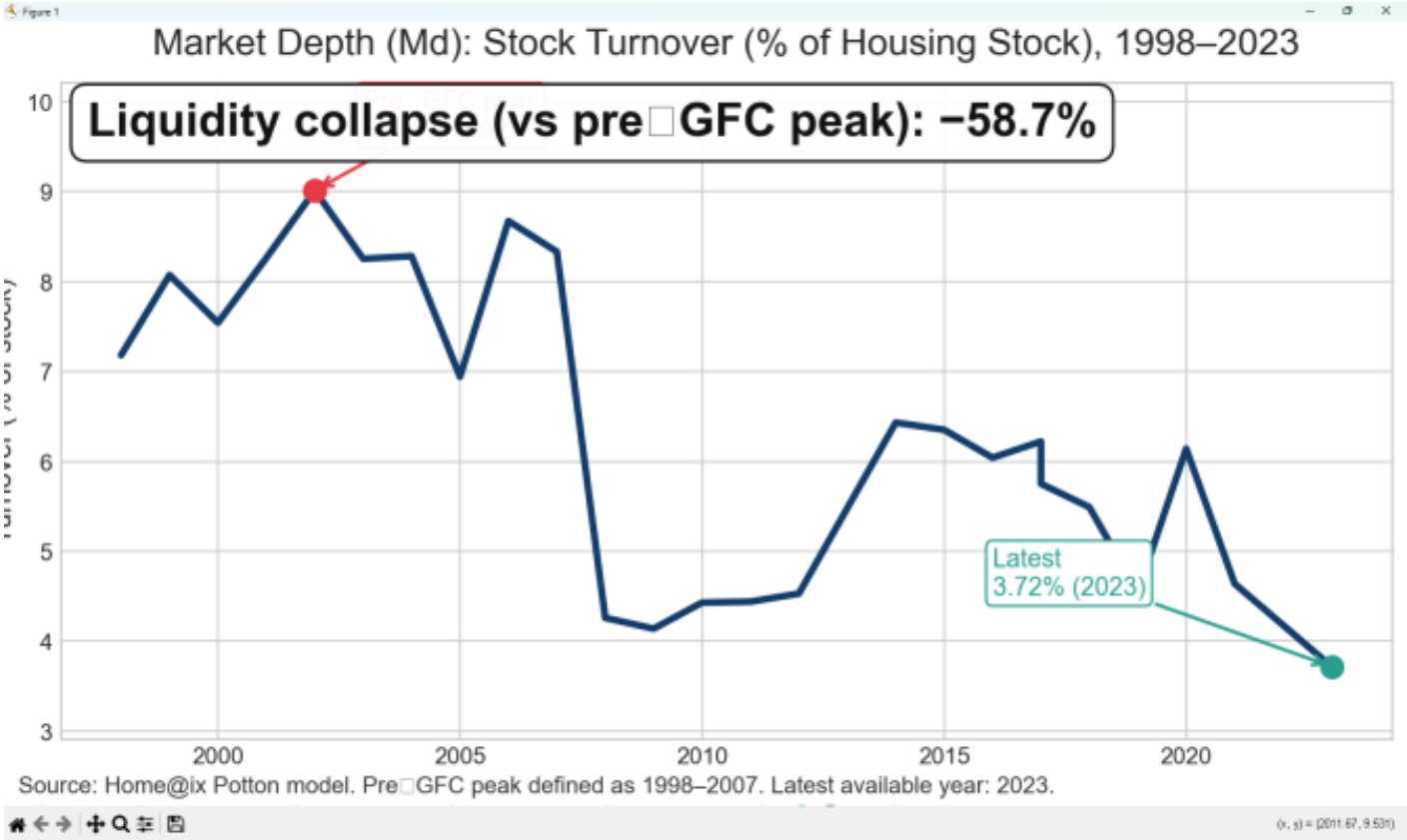
Housing market liquidity has collapsed by ~59% from its pre-GFC peak—turnover fell from ~9% a year to just 3.72% in 2023—meaning the market is no longer “slow,” it’s structurally illiquid.

When turnover drops this far, the market stops behaving like a deep, continuously traded market and starts behaving like a **thin market**: fewer comparable sales, noisier pricing, longer time-to-sell, and bigger jumps when demand shifts—because there simply aren’t enough transactions to absorb shocks.

“Not enough Homes were changing hands—by 2023, the market is running at barely four sales per hundred homes per year.”

General Introduction (Home@ix Potton Model — Updated Evidence, Sharpened Urgency)

The Home@ix work began in 2023 with a simple but uncomfortable proposition: the housing crisis is not only a story about high prices—it is a story about **allocation failure**. Homes are not flowing to the households who need them most, in the places they are most needed, at a pace the economy can sustain. The Home@ix formula set out to measure that failure directly using system indicators that conventional commentary often sidelines: **turnover (market liquidity), cash-versus-mortgage dynamics (access to finance), and the balance between new build and old stock activity (delivery and churn capacity)**.



"Price signals are weaker because the market is thin; liquidity risk is the new macro risk."

With three additional years of data now incorporated into the Home@ix Potton model, the central diagnosis from the 2023 work is no longer a hypothesis in search of confirmation. It has been **confirmed and strengthened**: the UK housing system repeatedly adjusts to stress not primarily through orderly price correction, but through **reduced market function**—fewer transactions, higher exclusion of mortgage-dependent households, and shifting activity patterns that concentrate opportunity among those with liquidity. In other words, the crisis has deepened into a structural problem of **who gets allocated housing, on what terms, and who is quietly priced out by the mechanics of the market even when headline indices appear stable**.

https://www.linkedin.com/pulse/title-when-housing-market-freezes-what-turnover-cash-share-lewis-wlxu

The updated exhibits make the mechanism visible. When turnover weakens, the housing market does not “pause” neutrally; it **rations mobility**. Chains break, moves are deferred, and households remain stuck—often in insecure or unsuitable rental situations—because the path to ownership (or even to a better rental) depends on a functioning transaction system. When the cash share rises, it is not a reassuring sign of resilience; it is frequently the fingerprint of **credit exclusion**—a market increasingly clearing via buyers who do not need mortgages rather than via households with incomes but insufficient deposits, or who face tougher lending terms. And when the mix between new build and old stock shifts, it signals whether constraints are binding on the **delivery side** (capacity, planning, cost of build) or on the **access side** (finance, affordability, confidence). Together, these dynamics explain why affordability can worsen even when prices flatten: the system resolves tension by narrowing participation.

This matters for allocation because the housing market is not just a marketplace—it is the gateway to stability, education continuity, health outcomes, and local labour mobility. When allocation fails, the burden falls disproportionately on younger households, key workers, lower-income families, and communities with the least slack. The updated model therefore reframes the policy question from “How do we make housing cheaper?” to the more operational—and answerable—question: **How do we restore fair access and functional flow, while increasing supply where it is needed most?**

That is the point of the Home@ix Potton model: to move from diagnosis to design. It provides an evidence-led way to identify when the system is seizing up, where exclusion is rising, and which interventions are most likely to work—whether those are credit enhancements that lower deposit barriers without inflating prices, patient capital that de-risks affordable delivery, or structures that keep affordability durable across cycles.

Call to action: catalytic capital for system repair

For philanthropic investors, community foundations, and the “Bank of Mom & Pop” angels who want to do more than observe the crisis, the message is direct: **the data now clearly shows where the system fails—so capital can be targeted where it is most catalytic**. The Potton model is an invitation to participate in housing as system repair:

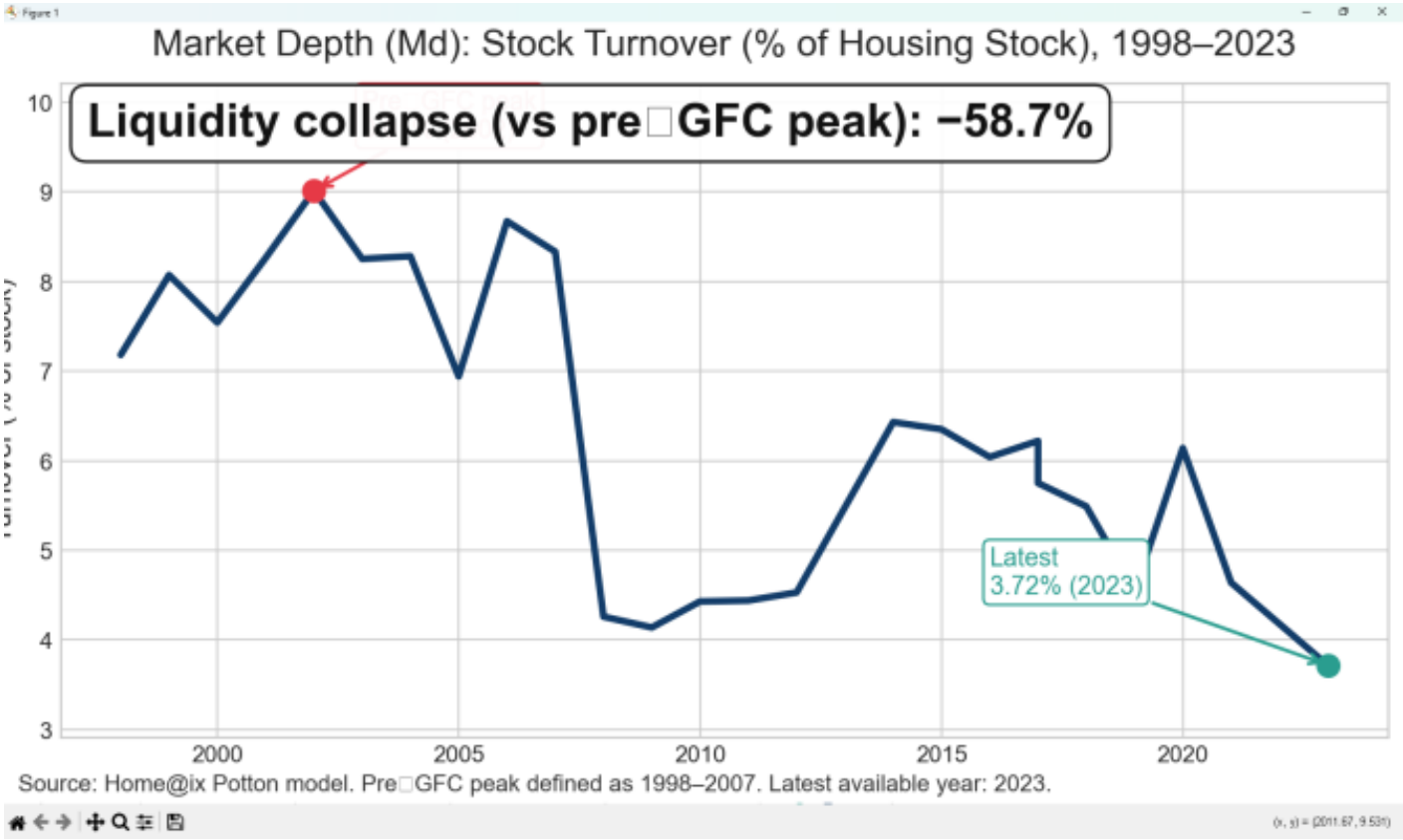
- **Invest counter-cyclically** when turnover collapses and exclusion rises, keeping affordable delivery and access moving when conventional finance retreats.
- **Back access-first structures** that reduce the deposit and liquidity barriers that the rising cash share is signalling.

- **Support delivery capacity**—especially models that lock in long-duration affordability rather than depending on price growth.

- **Use Home@ix indicators as your accountability dashboard**, tying capital deployment to measurable improvements in flow, access, and allocation.

The additional three years of data do not merely update the charts—they clarify the mandate. The crisis in housing affordability and allocation is systemic, persistent, and measurable. The Home@ix Potton model exists because the evidence now supports a practical conclusion: **this is solvable, but only if policy and mission-aligned capital focus on market function and fair access—not just prices.**

For Policy Makers



"Turnover has halved since the pre-GFC era—housing market depth is now a constraint, not a detail."

Title: When the Housing Market "Freezes": What Turnover, Cash Share, and Supply Mix Say About UK Housing Stress

https://www.linkedin.com/pulse/title-when-housing-market-freezes-what-turnover-cash-share-lewis-wlxu

Price indices dominate housing commentary, but they can miss the mechanism that matters most for affordable housing delivery and impact investing: **market liquidity**. The Home@ix exhibits highlight a consistent pattern—housing stress often shows up first as a **collapse in turnover**, then as a **shift in who can transact** (cash vs mortgaged buyers), and only later (or sometimes not at all) as a large, clean price correction. For policy makers and philanthropic investors, that matters because low-liquidity markets impair mobility, slow delivery, and raise execution risk for projects designed to expand affordability.

Below is a structured interpretation of the figures and the thesis each supports.

Housing stress is often a liquidity story first: turnover falls, cash share rises, and affordability worsens through exclusion—even before prices visibly reset.

🧭 Executive Thesis (what the figures collectively support)

These exhibits support three practical claims for policy and mission-driven capital:

1. **Turnover is the housing market's "functionality" indicator.** When turnover falls, the market increasingly adjusts through *fewer moves* rather than through *lower prices*—a form of rationing that hits renters, first-time buyers, and lower-income movers hardest.

2. **Rising cash share is a signal of credit exclusion, not market health.** A higher share of cash transactions often coincides with weaker volumes—consistent with mortgaged households being priced out by rates, lending standards, or deposit constraints.

3. **New build vs old stock dynamics shape affordability outcomes.** The mix of activity (not just totals) helps diagnose whether the system is constrained by *credit conditions*, *build capacity*, or *planning/land frictions*—and therefore what interventions (or investment structures) are likely to work.

📊 Evidence from the exhibits (with policy-investor interpretation)

Figure 1 — Turnover & Cash Share (Annual)

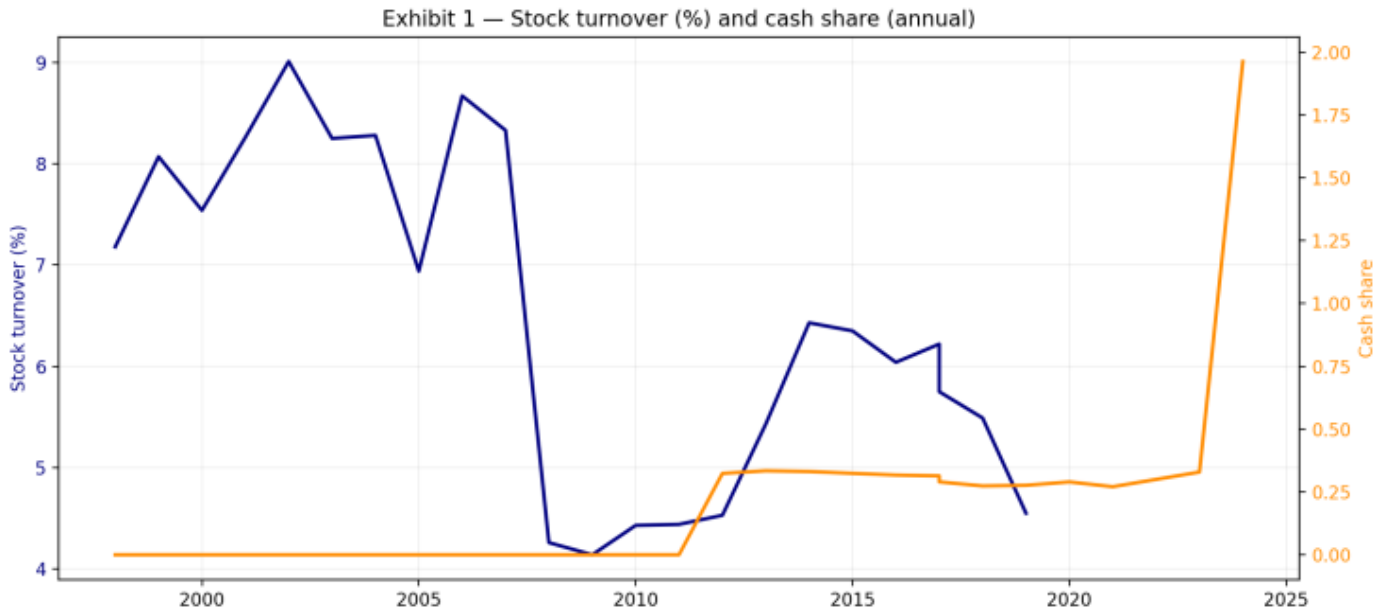


Fig 1

This figure pairs **turnover** (transactions relative to the housing stock) with the **cash share** of transactions.

Thesis this supports: Housing stress often appears as “frozen mobility,” not immediately as falling prices.

- **Falling turnover** suggests the market is clearing through *reduced matching* between buyers and sellers (fewer moves, longer search, more fall-throughs).
- When **cash share rises alongside weak turnover**, it is consistent with a **credit channel tightening**—mortgage-dependent households exit first, leaving a larger fraction of deals to buyers with liquidity.

Why this matters for affordability investors:

- Lower turnover can increase **pressure in the rental sector** (households delay buying, remain renting longer).
- It can also create **execution timing risk** for acquisition/rehab strategies (harder to source transactions at scale) while simultaneously increasing *distress pockets*—a mixed environment where due diligence discipline matters.

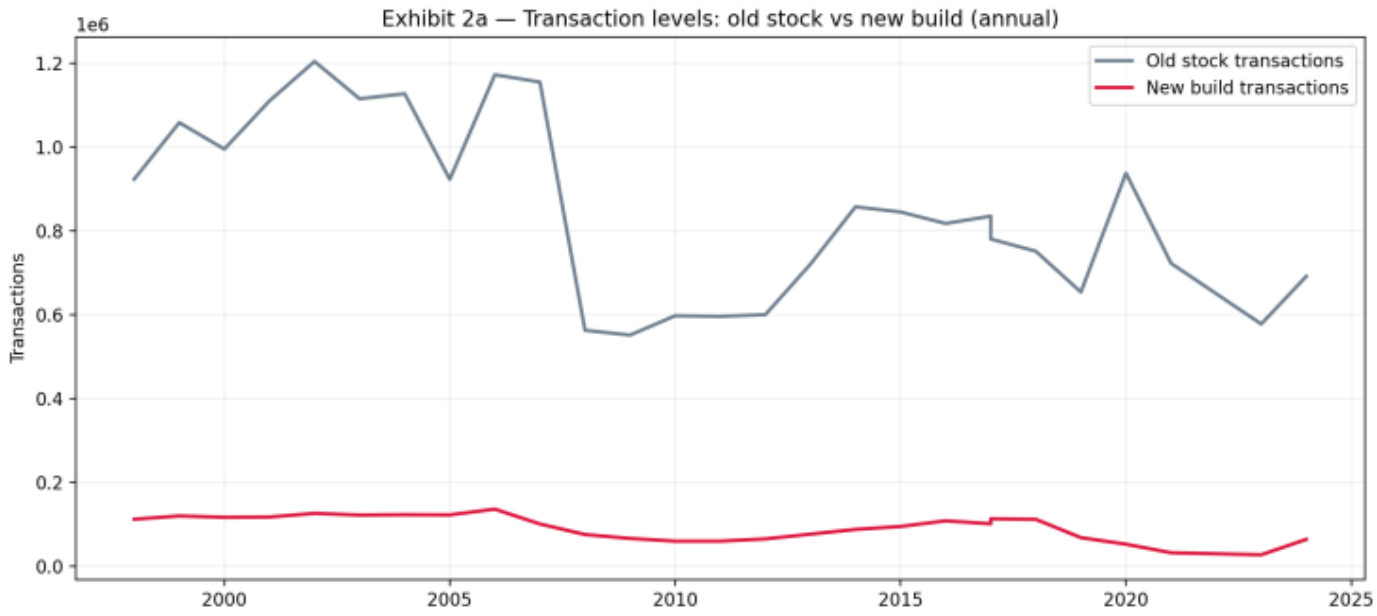


Fig 2a

Figure 2a — Transaction Levels: Old Stock vs New Build (Annual)

This figure separates annual transaction volumes into **old stock** and **new build**.

Thesis this supports: “Housing activity” is not a single market; the dominant component (old stock) is the most credit-sensitive.

- Old stock transactions typically represent the bulk of moves and are highly sensitive to rates, confidence, and chain dynamics.
- New build volumes reflect additional constraints—planning, build costs, labour, developer finance—so they can behave differently across cycles.

Policy implication: If the objective is mobility and access, stabilising *transaction capacity* (credit availability for sound borrowers, predictable timelines, chain resilience) can matter as much as subsidies aimed solely at prices.

Investor implication: Strategies tied to **retrofit and conversion** (largely in old stock) will see higher cyclicality in sourcing and completions than strategies anchored to **forward-funded development**, which is more exposed to build-cost and delivery risk

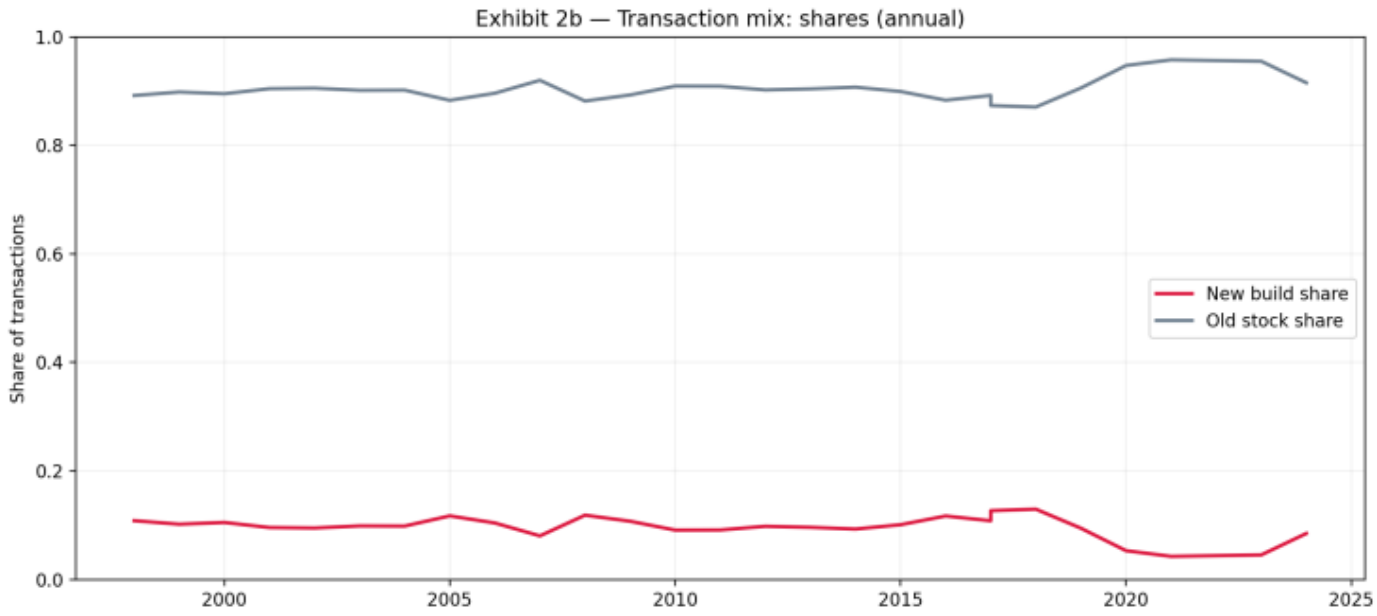


fig 2b

Figure 2b — Transaction Mix Shares: New Build vs Old Stock (Annual)

This figure shows shares: how much of transaction activity is new build vs old stock.

Thesis this supports: Mix shifts are an early diagnostic of where constraints are binding.

- If the **new build share rises while totals fall**, it can mean old-stock activity is contracting faster—often consistent with chain fragility and affordability stress for mortgaged households.
- If the **new build share falls**, it can suggest supply-side pullback or capacity constraints, even if demand exists.

Why think-tanks should care: Mix changes are one of the few "quick reads" that differentiate a **credit-demand shock** from a **supply/delivery shock**—and those require different interventions.

Why philanthropic investors should care: Mix shifts help target capital:

- Credit-led slowdowns may be best met with **deposit support**, **shared ownership refinements**, or **guarantee/credit enhancement** for affordability-linked lending.
- Supply-led slowdowns point toward **patient pre-development capital**, **land assembly support**, or **forward-funding structures** that de-risk delivery.

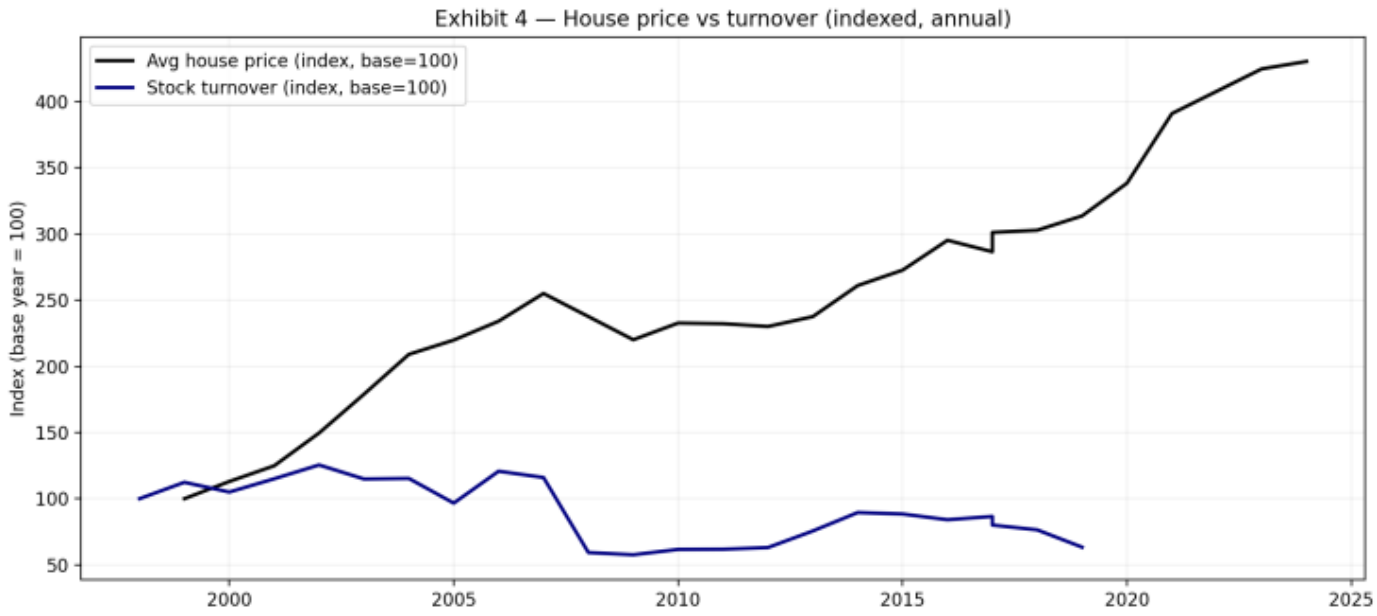


Fig 4

Figure 4 — Price Index vs Turnover Index (Annual)

This indexed comparison sets **price** and **turnover** to the same baseline to show which moves first.

Thesis this supports: Turnover is frequently the lead indicator; prices can be sticky and lag.

- Sellers often anchor to past valuations; buyers face immediate financing constraints.
- Result: turnover can fall sharply while prices drift or plateau—meaning the market becomes less accessible even without dramatic headline price changes.

Policy relevance: If you wait for large price falls as the “signal” of distress, you may miss the period when households are already rationed out via low liquidity.

Investor relevance: Low turnover periods can produce:

- fewer but more motivated counterparties (opportunity),
- higher dispersion between micro-markets (selection risk), and
- greater importance of underwriting to *cashflow durability* rather than capital appreciation.

🧩 **Where the mortgage-composition exhibit fits (and why it matters)**

Your annual run likely skipped the mortgage-outstanding composition because those mb_* columns appear in the monthly section of the dataset. It is worth producing an annualised version (e.g., December snapshots each year) because it connects transaction conditions to system structure: **who holds housing credit risk**, and how that changes through cycles. For policy work, that's central to macroprudential design and stability; for impact investors, it informs counterparty and refinancing risk.

💡 What this means for policy design (actionable takeaways)

This evidence suggests four priorities that align affordability with market function:

1. **Treat turnover as a headline KPI alongside prices and starts.** A market with stable prices but collapsing turnover is not "fine"—it's rationing access.

2. **Protect access to sustainable mortgage credit for creditworthy lower-income households.** Rising cash share in a weak-volume environment is a tell: affordability is shifting from "income constraint" to "liquidity/deposit constraint."

3. **Differentiate interventions by constraint type (credit vs delivery).** Use mix (Figure 2b) to decide whether to emphasise credit enhancement (demand-side) or patient delivery capital and planning reform (supply-side).

4. **Target mobility bottlenecks, not just unit counts.** Even well-funded affordable supply can underperform if households can't move through the system (chains, timing, deposit hurdles).

🧱 What this means for philanthropic affordable-housing investors (portfolio logic)

Philanthropic capital can be especially effective where private capital pulls back or demands high premia:

- **Counter-cyclical capital deployment:** When turnover drops, structured capital (patient equity, guarantees, revolving acquisition facilities) can keep delivery moving.

- **Bridge the deposit/liquidity gap:** Products that reduce "cash barrier" (without inflating prices) can counter the exclusion signaled by a rising cash share.

- **Underwrite to resilience, not just need:** Low-liquidity markets raise execution risk; mitigate via phased acquisitions, tighter contingencies, and conservative exit assumptions.

- **Blend finance with policy leverage:** Pair investments with planning acceleration, retrofit delivery capacity, or nominations agreements to lock in affordability.

Figure List (as used in the brief)

- **Figure 1:** Turnover and cash share (annual) — exhibit_1_turnover_cashshare_annual.png
- **Figure 2a:** Transaction levels: old stock vs new build (annual) — exhibit_2a_transaction_levels_annual.png
- **Figure 2b:** Transaction mix shares (annual) — exhibit_2b_transaction_mix_shares_annual.png
- **Figure 4:** Indexed price vs indexed turnover (annual) — exhibit_4_price_vs_turnover_index_annual.png

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home@ix 4d

From a Home@ix lens, this isn't just a "slow" market — it's a thin one. Turnover has fallen ~59% from the pre-GFC peak to 3.72% (2023), so the system adjusts to stress by reducing transactions, not by delivering an orderly price reset. That's why we track turnover, cash share, and supply mix together: they show who can still participate when credit tightens and mobility gets rationed. In short: weaker price signals, higher exclusion — liquidity risk is the macro risk.

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Potton 4d

This rings true on the ground. When turnover falls from ~9% pre-GFC to 3.72% (2023), the market stops clearing and starts rationing mobility—chains break, moves get deferred, and buyers with mortgages are squeezed out while cash buyers dominate. Prices can look "fine" while access quietly worsens. That's why I like the Home@ix framing: in a thin market, price signals weaken and liquidity risk becomes the macro risk.

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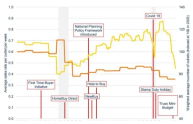

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